

South Korea: BOK Hikes to 2.75%, As Expected, and Stresses Data Dependency on the Next Hike

Bottom line:

The Bank of Korea's Monetary Policy Committee (MPC) raised its policy rate by 25bp to 2.75%, in line with Bloomberg consensus and our forecast. The decision was unanimous. The MPC statement noted that real GDP growth in 2026 is expected to "considerably exceed" the central bank's May forecast of 2.6%, while headline inflation is expected to be broadly in line with the forecast of 2.7%. During the press conference, the Governor stressed data dependency, commenting that every meeting in the near term would be a "live" meeting, with the rate decision depending on activity, inflation and financial stability data. We continue to expect gradual two more 25bp hikes in Q4 and Q1 to 3.25%, given the dominance of import price pressures in CPI inflation and our expectation of concentration of activity gains in exports and related capex.

Main points:

1. The Bank of Korea's Monetary Policy Committee (MPC) raised its policy rate by 25bp to 2.75%, in line with Bloomberg consensus and our forecast. The decision was unanimous.
2. The BOK's MPC statement noted a strengthening in Korea's growth, led by semiconductor exports and related investments. It noted that real GDP growth in 2026 was now expected to "considerably exceed" the central bank's May forecast of 2.6% although with uncertainties regarding the strength of ongoing semiconductor, its spillover effects and geopolitical and trade landscape.
3. On inflation, the statement noted that headline inflation in 2026 was expected to be broadly consistent with the BOK's May forecast of 2.7%, while core inflation could be somewhat higher than the BOK's forecast of 2.4%. The statement also noted that inflation was likely to stay above target levels for a considerable time, due to pressures from elevated costs and exchange rates as well as gradual strengthening of demand-side pressures.
4. On financial stability, the statement noted a substantial increase in household loans, with pace of increases in housing prices in Seoul and surrounding areas accelerated. USDKRW has recently stabilized to upper 1400 range on improving forex market supply-demand conditions while equity market volatility has increased.
5. The forward-looking section of the MPC statement changed to signal sustained tightening but without changing key drivers to be considered: "it is judged that it will be necessary to continue a policy stance consistent with further rate hikes,

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and the Board will determine the timing and pace of further increases in the Base Rate while assessing the extent of inflationary pressure, the improvement trend in the domestic economy, and financial stability”.

6. During the press conference, the Governor’s tone stressed data dependency in deciding the timing and pace of further hikes. He emphasized strengthening growth momentum driven by semiconductors and the potentially meaningful spillovers from exceptional income growth should it be sustained. The Governor commented that every meeting in the near term would be a “live” meeting in the sense that additional rate hikes may be possible depending on data. In that regards, the Governor highlighted key upcoming data as following: Q2 GDP and GDI growth, July CPI inflation (including cost of living index), ongoing forex market movements (due to high import inflation) and housing prices.
7. Beyond these comments, the Governor did not give much hints on the pace and extent of future policy rate hikes. In response to a question on any updates to the dot plot provided in May (in which the median dot signaled total 50bp hikes over following 6 months), he commented that the discussions during today’s rate decision meeting have been broadly consistent with the dot plot presented in May, even with some incorporation of newly available data. Next update will be given in August.
8. On recent weakness in employment, with negative year-on-year growth in May and limited recovery in June, the Governor explained that uncertainties surrounding the Middle East energy supply seem to have played a role, along with structural slowdown in employment on ongoing transition to a more services-oriented economy. Looking forward, the BOK currently expects a gradual recovery as global uncertainties subside.
9. On recent volatility in equity markets, the Governor explained that for Korea, equity-related investments rarely lead to overall financial system risk. He also stressed that equity markets could affect the real economy through wealth effects but the BOK estimates the effects to be weak both to the upside (from rises since late 2025) and to the downside (due to recent volatility and corrections).
10. We continue to expect gradual two more 25bp hikes in Q4 and Q1 to a terminal rate of 3.25%, given the dominance of import price pressures in CPI inflation and our expectation of concentration of activity gains in exports and related capex.

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